



Nordic Retail Group

Financial Report

Background & Objective

Background

Fragmented and manual financial reporting limits visibility.

- **NRG's financial data is fragmented and manually reconciled, causing inconsistencies, errors, and reporting delays.**
- **Limited cost visibility makes it difficult to monitor profitability, COGS, operational expenses, and budget performance.**

The Objective

A structured financial dataset and centralized analytics dashboard.

- **Build a centralized financial dataset and automated reporting system for faster, more accurate decision-making.**
- **Improve profitability and cost control through P&L, balance sheet, and Budget vs. Actual analysis.**

Profitability

a. Gross Profit

Peak & Lowest Points

Gross profit peaked in **January at 1.774M** and reached its lowest level in **April at 1.482M**, a decline of **16.5%**.

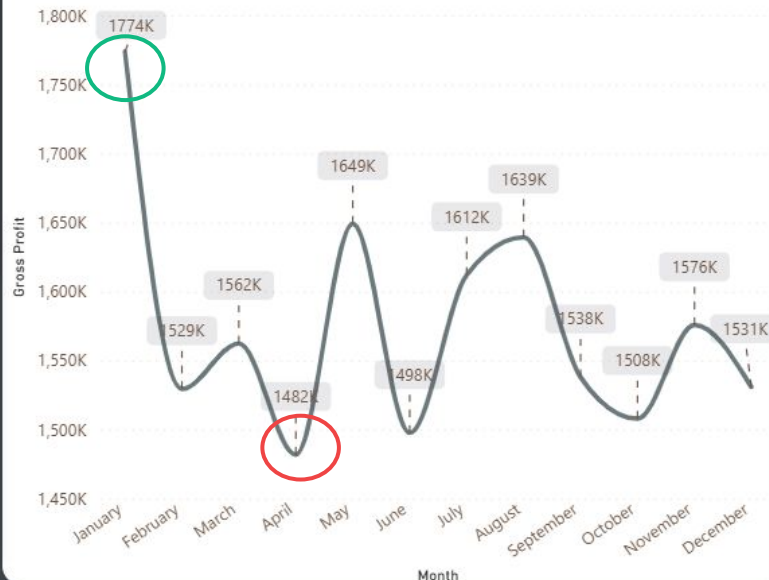
Strongest Recovery

Occurred from **April to May**, increasing by **167K (11.3%)**, followed by strong performance in **July–August**.

Year-End Performance

Recovered to **1.576M in November** but declined to **1.531M in December**, closing **13.7% below January**.

Gross Profit by Month



b. Net Profit

Peak & Lowest Points

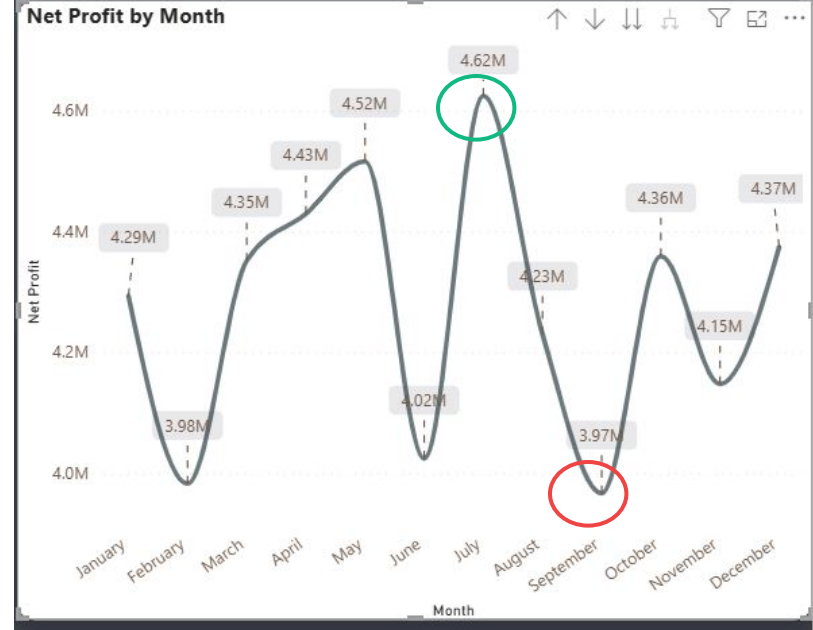
Net profit peaked in **July at 4.62M** and reached its lowest level in **September at 3.97M**, showing significant monthly volatility.

Strongest Recovery

Occurred from **June to July**, increasing by **0.60M (14.9%)**, followed by a decline of **14.1%** from July to September.

Year-End Performance

Net profit closed at **4.37M in December**, which is approximately **1.9% higher** than January's 4.29M.



Profitability

c. Revenue

Peak & Lowest Points

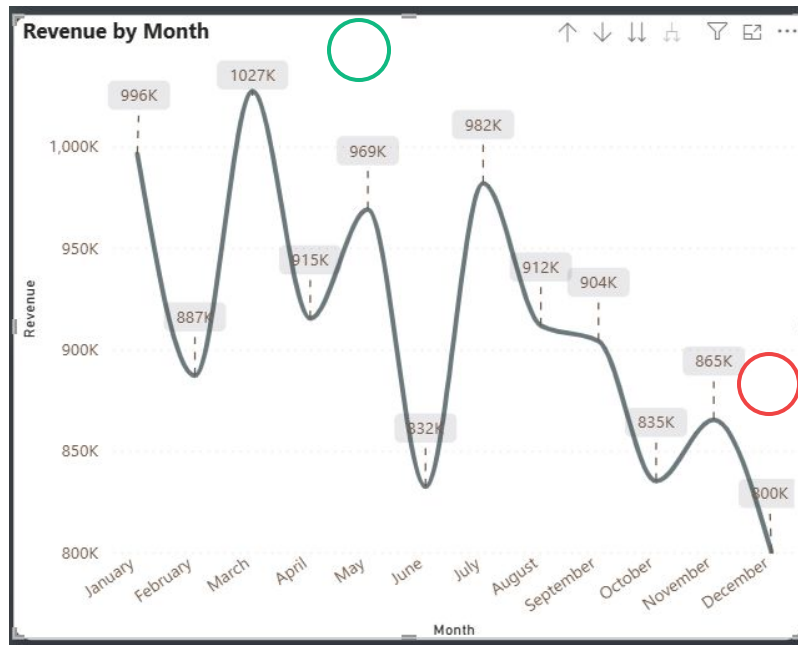
Revenue peaked in **March at 1.027M** and reached its lowest level in **December at 800K**.

Strongest Recovery

Occurred from **June to July**, increasing by **150K (18.0%)** after falling to 832K in June.

Year-End Performance

Revenue declined from 996K in January to **800K in December**, representing an overall decrease of **19.7%**.



Operation

Revenue Trends

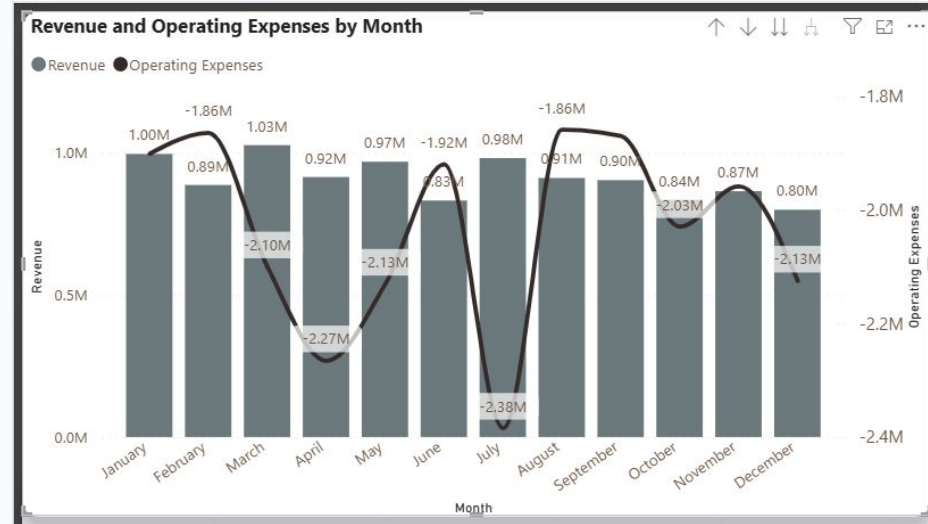
Revenue peaked in **March at 1.03M** and fell to its lowest level of **0.80M in December**, a decline of approximately **22.3%**.

Operating Expenses Peak

Operating expenses reached their highest magnitude in **July at 2.38M**, despite revenue remaining relatively strong at **0.98M**.

Cost Pressure & Deficit

Operating expenses exceeded revenue in every month; **December recorded the largest cost pressure**, with expenses approximately **2.66 times revenue**.



Operation

Operating Profit

Physical stores generated **31M in operating profit**, approximately **2.6 times** E-commerce's 12M, contributing **72% of total**.

Net Profit

Store net profit reached **37M**, compared with 14M from E-commerce, representing approximately **73% of total net profit**.

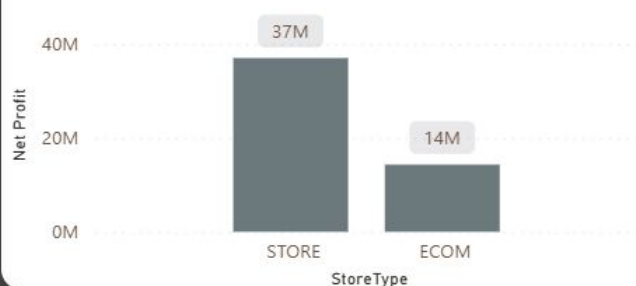
Strategic Outlook

Both channels are profitable, but E-commerce requires **revenue growth and cost-efficiency improvements** to narrow the gap.

Operation Profit by StoreType



Net Profit by StoreType



Scenario Analytics

Favorable Results

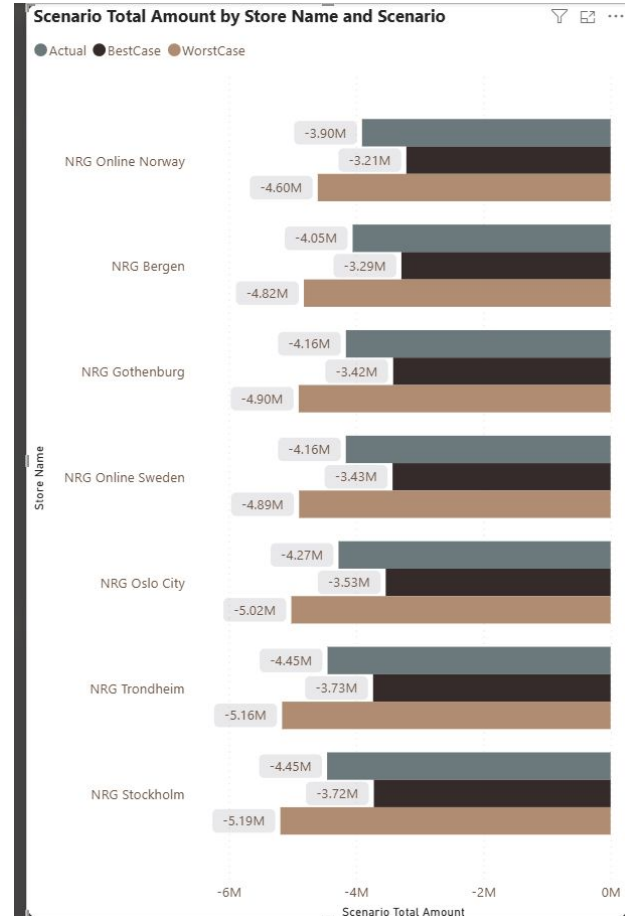
NRG Online Norway recorded the most favorable actual result at **-3.90M**, followed by **NRG Bergen** at **-4.05M**.

Weakest Performance

NRG Trondheim and **NRG Stockholm** recorded the weakest actual results at **-4.45M**, while Stockholm had the greatest downside risk at **-5.19M**.

Cost-Control Priority

Cost-control initiatives should prioritize **Stockholm**, **Trondheim**, and **Oslo City**, as these stores recorded the highest negative actual amounts.



Scenario Analytics

Scenario Range

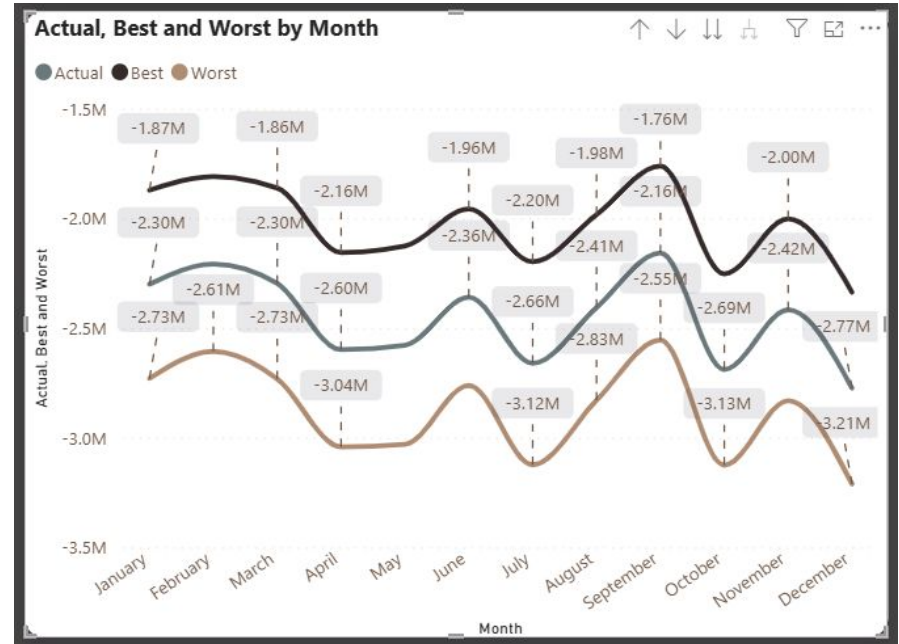
Actual performance remained between the **best- and worst-case scenarios** throughout 2025, with no scenario-range breaches.

September Peak

September recorded the most favorable actual result at **-2.16M**, compared with a best case of -1.76M and a worst case of -2.55M.

December Decline

December recorded the weakest actual result at **-2.77M**, deteriorating by **0.61M (28.2%)** from September and approaching the worst-case value of -3.21M.



Conclusions

2025 Performance

NRG remained **profitable in 2025**, but performance was volatile and revenue declined by **19.7%** from January to December [cite: 10].

Channel & Locations

Physical stores contributed approximately **73% of total profit**, while E-commerce and locations like **Stockholm, Trondheim, and Oslo City** show opportunities for improvement [cite: 10].

Strategic Imperatives

Stronger **cost control**, revenue recovery, reporting automation, and validation of financial KPI calculations are essential for faster decision-making [cite: 10].

Recommendations & Actions

Recommendations

- **Validate financial metrics** to ensure consistent and accurate reporting.
- **Recover revenue growth** by replicating strategies from high-performing months.
- **Control operating expenses**, particularly logistics and marketing costs.
- **Improve E-commerce** and underperforming store profitability.
- **Automate financial reporting** for faster, data-driven decisions.

Actions

- **Standardize KPI definitions** and validate financial calculations.
- **Analyze revenue performance** by department, store, and product.
- **Monitor Budget vs. Actual** variance monthly.
- **Review E-commerce** and underperforming store costs.
- **Automate P&L** and performance dashboards.